Module 10 Business and Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

<u>WRITTEN QUESTIONS</u> (Total: 100 marks)

<u>Answer 1</u>

This question required the candidates to analyse the distinction between an employee and an independent contractor.

Several tests have been developed by the court to determine the employment status of a person: namely, (i) the control test; (ii) the organisation test (also known as the integration test); and (iii) the multi-factor test.

The control test:
In *Ready Mixed (South East) Ltd v Minister of Pensions and National Insurance [1968] 2 QB 497,* the owner driver was required to bear all the running costs for the truck, and he could choose to hire a competent driver at his own expense. He had to wear the plaintiff's uniform and carry out reasonable orders given by the plaintiff. In this case, the judge explained the three conditions which a contract of service must fulfil:

(i) The servant agrees to provide his service in consideration of a wage or remuneration.
(ii) The servant agrees expressly or impliedly to be subject to a sufficient degree of control of the other party in the performance of his service.
(iii) The other provisions of the contract are consistent with there being a contract of service.

The judge said that if the provisions of the contract as a whole are inconsistent with its being a contract of service, the person doing the work will not be a servant. It was held that the owner driver was an independent contractor.

The organisation test:
The organisation test is concerned with whether the work performed by the person is integrated into the enterprise or whether it merely plays an ancillary role in the enterprise.

The multi-factor test:
As the court gradually realises that no single test can effectively determine the nature and status of employment, a more flexible approach is adopted. In the case of *Poon Chau Nam v Yim Siu Cheung [2007] 1 HKLRD 951,* the Court of Final Appeal held that the modern approach to determining whether one person is another's employee is to examine all the characteristics of their relationship and see if it involves a nuanced and not a mechanical approach.

In essence, the factors (which are non-exhaustive) likely to be taken into account by the courts to determine whether there is an employment relationship between the parties include:

(i) the degree of control over procedures, working time and method exercised by the employer;
(ii) who provided the equipment for performing the services;
(iii) whether the individual may hire additional helpers for performing the services;
(iv) the degree of financial risk borne by the parties;
(v) whether and how far the individual had an opportunity of profiting from sound management in the performance of the task;
(vi) the degree of responsibility for investment and management of the parties; and
(vii) whether the individual is viewed as a part of the company.

In this case, it was found that the air-conditioning business was owned by the defendant (D), who decided which jobs would be assigned to the Plaintiff (P), paid P at a daily rate and bore P's travelling expenses. P did not bear any financial risks and did not share any profits or losses. The degree of control was irrelevant in this case as P was a skilled worker who did not need supervision.

The contract of employment of a casual worker did not involve any general mutual obligation to provide or accept work and could come into existence each time when a specific engagement occurred. P was held to be an employee of D in relation to each special engagement which occurred.

Gig workers are flexible workers as regards to when and where to work. They are paid for the gig jobs they do. In general, they do not have regular income. In the recent *Zeek* case, the Labour Tribunal applied the legal principles laid down by the Court of Final Appeal in the leading case of *Poon Chau Nam v Yim Siu Cheung [2007] 1 HKLRD 951*. In this case, the gig workers claimed against Zeek for outstanding wages, payment in lieu of notice, unpaid statutory holiday pay, and annual leave pay. They could only succeed in their claims if the Tribunal ruled that they were "employees" (and not "independent contractors"), which the Tribunal did.

In essence, the reasons for the Tribunal's ruling are:

(i) The degree of control that was exercised by Zeek over the claimants such as the delivery routes, work locations, and the orders that the claimants had to complete.
(ii) The fixed amount of wages paid to the claimants based on the number of orders they completed, which means the claimants did not bear any financial risks.
(iii) The fact the claimants had to follow Zeek's instructions when they carried out the tasks assigned to them and did not participate in Zeek's management. Further, the claimants did not share Zeek's profits or loss and were not allowed to establish any relationship with Zeek's customers.

The way Peter carried out the tasks assigned to him was similar to that of the claimants in the Zeek case. Like Zeek, FSL exercised control over the route taken by Peter and calculated and paid Peter an amount of fees of which Peter had no control. Peter was not allowed to take fees directly from customers and could not establish a relationship with them. Therefore, it is very likely that Peter would be regarded as an employee and be entitled to outstanding wages, payment in lieu of notice, and unpaid annual leave (if applicable) under the Employment Ordinance (Cap.57) and the relevant case law above mentioned.

Answer 2(a)

This question required the candidates to discuss misrepresentation under common law and the Misrepresentation Ordinance (Cap.284) ("MO").

Misrepresentation is not defined in the MO. Under common law:

(i) Misrepresentation is a false statement of fact which has induced a party to enter into a contract.
(ii) In order to constitute misrepresentation, the false statement made by the representor must be one of fact but not one of opinion or future intention.
(iii) The misrepresentation must be material, which means it would affect a reasonable person's decision whether to enter into the contract.

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(iv) Finally, it must be shown that the representee has acted upon the false statement. That is, the representee has been induced to enter into the contract based upon the false statement.

There are three types of misrepresentation:

(i) Fraudulent misrepresentation: When a false statement is made knowingly, without belief in its truth, or recklessly, not caring whether it is true or false. It is essentially a statement made without honest belief.
(ii) Negligent misrepresentation: Where a false statement is made in the honest belief that it is true. However, when the person makes the statement, he/ she fails to exercise reasonable care and skill in coming to that conclusion.
(iii) Innocent misrepresentation: Where a person makes a false statement in the honest belief that it is true and there are reasonable grounds for him/ her to hold such a belief.

If Gigi thinks that Albert intentionally lied to the auctioneer that the synthetic cubic zirconia stones were genuine diamonds, Gigi can try to sue Albert for fraudulent misrepresentation. However, Gigi will have to prove that Albert had a dishonest intention when she made the representation.

However, as it may not be easy for Gigi to prove that Albert had a dishonest intention, it will be much easier for Gigi to sue Albert/ HJL alternatively for negligent misrepresentation. The burden of proof regarding negligent misrepresentation has been reversed by the MO. Under s.3(1), once the representee has shown the statement of fact which induced him/ her to enter into the contract was false, the representor will be presumed to be liable unless he/ she can prove that he/ she had reasonable grounds to believe (and did believe) that the facts represented were true at the time of the conclusion of the contract.

It would be difficult for Albert to prove that he was not negligent, given the fact that he knew nothing about jewellery and had no reason to assume that the stones were genuine diamonds.

In a recent relevant Hong Kong case, *Lee Yuk Shing v Dianoor International Ltd (In Liquidation) [2016] 4 HKC 535,* the defendant had carried on a successful and reputable international jewellery business but subsequently went into liquidation. Upon appointment, the liquidators took over the defendant's assets and decided to sell eight stones. In order to save money, the liquidators arranged for a gratuitous survey of the jewellery items by a gemmologist, who estimated the value of the items to be roughly HK$7 million without providing a breakdown of the individual items. Later, the liquidators appointed a reputable auctioneer to sell the items by public auction in a five-star hotel. The eight stones were collectively and individually advertised and described as "rough diamond stone(s)", and catalogues were given to bidders.

The plaintiff, who operated a small jewellery business, attended the auction and successfully bid for seven of the eight stones for a total price of HK$1,155,000 including 10% premium. The stones were found to be synthetic cubic zirconia upon subsequent examination.

The plaintiff commenced legal proceedings against the defendant for the return of money (being the purchase price of HK$1,050,000 plus the auctioneer's commission of HK$105,000) for the stones under s.3.

As regards fraudulent misrepresentation, it was held that the lack of caution on the part of the liquidators could not be stretched to constitute dishonest or fraudulent mind.

The burden was on the defendant to prove that it was not negligent. S.3(1) provides that it is for the representor to prove that "he had reasonable grounds to believe and did believe up to the time the contract was made that the facts represented were true". The defendant or the liquidators could not prove no negligence on their part.

On the authority of the *Dianoor* case discussed above, it is very likely that Gigi can raise a claim against HJL on the grounds of negligent misrepresentation.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Misrepresentation Ordinance (Cap.284).

Answer 2(b)

This question required the candidates to discuss the remedies available to the representee of misrepresentation.

Under common law, the remedies for misrepresentation are rescission and claim damages. Rescission allows the contract to be set aside and the parties be restored to their pre-contractual position. For fraudulent and negligent misrepresentation, the claimant may claim rescission and damages.

Under s.3(1), the person who has made a misrepresentation, whether fraudulently or negligently, will be liable for damages. However, the common law remedies have been modified by the MO. S.3(2) now provides a discretionary remedy for non-fraudulent misrepresentation. Under the MO, the court now has discretion to award damages to the representee of non-fraudulent misrepresentation in lieu of rescission if it thinks it is fair to do so.

As the stones sold by HJL were synthetic cubic zirconia stones but were advertised as diamonds in the auction, there is a total failure of consideration apart from the issue of misrepresentation. It is likely that the remedies awarded by the court to Gigi would be rescission and damages, including the refund of the commission paid to the auctioneer.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Misrepresentation Ordinance (Cap.284).

Answer 2(c)

This question required the candidates to analyse the jurisdictions of the court/ tribunal which hears Gigi's claim.

As Gigi's claim involves more than HK$3 million, the Court of First Instance will hear her case.

The Court of First Instance of the High Court has unlimited jurisdiction in both criminal and civil matters.

As far as its civil jurisdiction is concerned, the Court of First Instance hears claims involving an amount of over HK$3 million.

This court also deals with admiralty cases, bankruptcy cases, and company winding-up cases, as well as adoption and probate cases.

For civil cases, the judge of the Court of First Instance sits without a jury except for defamation cases.

The Court of First Instance also has appellate jurisdiction and hears appeals from the Magistrates' Courts, the Labour Tribunal, the Small Claims Tribunal, and the Obscene Articles Tribunal.

Answer 3

This question required the candidates to discuss and analyse whether PVL is liable to Mrs Rich for negligent misstatement.

When a professional is in a legal relationship with a client which arises from a contract, he/ she also owes a concurrent duty of care towards his/ her client in tort.

In a leading case on liability for giving negligent advice in the financial industry, *Susan Field v Barber Asia Limited [2004] 3 HKLRD 871*, the court found that a duty of care arose because Barber Asia had voluntarily assumed responsibility to provide Ms Field with financial advice and, because it was also clear that she would rely on that advice, Barber Asia had a duty to exercise reasonable care and skill when giving that advice.

In the case *Caparo Industries Plc v Dickman [1990] UKHL 2,* the accounts prepared by the chartered accountants who were auditors of a public limited company turned out to be inaccurate and misleading. Caparo Industries Plc ("Caparo") purchased shares of the public company in reliance on the accounts and sustained losses. Caparo sued the accountants for negligent misstatement.

In the case of Caparo, it was held that no duty was owed unless the criteria of the three-stage test were satisfied. These criteria were:

(i) Foreseeability of harm;
(ii) Existence of a relationship of sufficient proximity; and
(iii) Whether it is fair, just, and reasonable to impose such a duty.

In relation to existing shareholders, it was held that the accountants owed a duty of care to ensure that the contents of the audit report were accurate to enable them to exercise their rights and make decisions as to the governance of the company and related future investments.

The court further held that for there to be a duty of care, the three factors (i.e. proximity, knowledge of who the audit report would have been communicated to, and for what purposes it would have been used) had to exist.

Imposing a duty of care on the accountants would require that there had to be knowledge that the shareholders or investors would rely on the audit report in regard to the transaction.

Therefore, the accountants in the Caparo case owed no duty to the entire public contemplating investment as they might or might not place reliance on the audit report when making financial decisions.

Although Mr Wealthy has engaged PVL to compile the valuation report to assess the value of Good Prospects Centre, Mr Wealthy did not tell PVL the purpose for which the valuation report was commissioned. Further, PVL did not know that Mr Wealthy did not read the valuation report but gave it to Mrs Rich who relied on the findings in her decision to purchase Good Prospects Centre. Therefore, PVL owed no duty of care to Mrs Rich and Mrs Rich can probably not hold PVL liable for the over-valuation of the value of Good Prospects Centre.

Answer 4(a)(i)

This question required the candidates to discuss the fiduciary duties owed by an agent to his/ her principal.

An agent owes to his/ her principal fiduciary duties, which means duties of care, loyalty, and good faith.

Fiduciary duties include:

(i) A duty to the principal to act in the principal's best interests: In practice, it requires an agent to use reasonable care and skill in discharging his/ her duties.
(ii) A duty to avoid conflict of interest: An agent should not put himself/ herself in a position in which his/ her interest and that of his/ her principal are in conflict.
(iii) A duty not to make secret profits: An agent should not make any profit or gain any benefit in the course of his/ her agency without the knowledge and consent of his/ her principal. Such secret profit includes money and anything of value.
(iv) A relevant case for breach of duty to avoid conflict of interest and not to make secret profits: Boardman v Phipps [1967] 2 AC 46, in which it was held that a fiduciary was not allowed to make any profits by making use of his/ her fiduciary position and the opportunity or knowledge resulting from it, even if the principals could not have made the profits themselves with such opportunity or knowledge, unless the principal has full knowledge of the relevant facts and given his/ her informed consent.
(v) Duty of confidentiality: Owing to the fiduciary relationship between a principal and his/ her agent, the agent should not disclose any information concerning the principal or any confidential information acquired in the course of his/ her agency entrusted to him/ her by the principal to any third party without the principal's consent.

Answer 4(a)(ii)

This question required the candidates to discuss whether Johnathan's act of receiving commission from Good Play without Bobo's knowledge was in breach of any fiduciary duties owed to Bobo and the legal consequences of such an act, if any.

By undertaking to assist Bobo in purchasing a set of golf equipment, Johnathan agreed to act as Bobo's agent although he was only engaged as an independent contractor to teach Bobo golf (see the *Chu Ang* case discussed in Answer 4(b) below). Johnathan recommended the most expensive set of golf equipment to Bobo with the knowledge that the higher the price of the golf equipment bought by Bobo, the more commission he would get. Thus, Johnathan was clearly in breach of the duty to avoid conflict of interest. He clearly put his own interest above that of his principal.

By taking a handsome commission from Good Play without Bobo's knowledge and consent, Johnathan was in breach of the duty not to make secret profits.

A fiduciary agent who is in breach of the duty not to make secret profits has to account to his/ her principal for any profits acquired by taking advantage of his/ her fiduciary position.

The profits will be held on constructive trust for the principal by the fiduciary agent, with allowance given to the agent for expenses incurred in making the profit.

By taking secret profits from Good Play, Johnathan must account to Bobo for these profits.

<u>Answer 4(b)</u>

This question required the candidates to discuss whether Johnathan may have committed any criminal offence under the Prevention of Bribery Ordinance (Cap.201) ("POBO") by receiving commission from Good Play.

The POBO aims at combating corruption. The key section which deals with corrupt transactions with agents is s.9.

(i) S.9(1):
Any agent who, without lawful authority or reasonable excuse, solicits or accepts any advantage as an inducement to or reward for or otherwise on account of his/ her doing or forbearing to do, or having done or forborne to do, any act in relation to his/ her principal's affairs or business shall be guilty of an offence (extracted).

(ii) S.9(2):
Any person who, without lawful authority or reasonable excuse, offers any advantage to any agent as an inducement to or reward for or otherwise on account of the agent's doing or forbearing to do, or having done or forborne to do, any act in relation to his principal's affairs or business shall be guilty of an offence (extracted).

(iii) S.9(3):
Any agent who, with intent to deceive his/ her principal, uses any receipt, account, or other document (a) in respect of which the principal is interested; and (b) which contains any statement which is false or erroneous or defective in any material particular; and (c) which to his knowledge is intended to mislead the principal, shall be guilty of an offence.

The maximum penalty is seven years' imprisonment and a fine of HK$500,000.

"Advantage" means any gift, loan, fee, reward, or commission consisting of money or of any valuable security or of other property or interest in property of any description.

Although Johnathan was engaged as an independent contractor to teach Bobo golf and Johnathan was not hired for assisting in the purchase of golf equipment, Johnathan acted as an agent for Bobo when he agreed or chose to assist Bobo in her purchase of golf equipment.

The Court of Final Appeal in *HKSAR v Chu Ang [2020] HKCFA 18* ruled that a person is an "agent" for the purposes of s.9(1)(a) if he/ she "acts for another", having agreed or chosen so to act in circumstances which result in a reasonable expectation, and therefore a duty, to act honestly and in the interests of that other person but not in his/ her own interests.

It was also held that there is no need for any pre-existing legal relationship between the agent and the principal; and the acceptance by an agent of a request to act or even the agent's choice to act for another without a request to do so may be sufficient.

On the authority of the *Chu Ang* case, Johnathan will probably be regarded by the court as Bobo's agent when he agreed to assist Bobo in the purchase of golf equipment. By accepting a secret commission from Good Play, Johnathan may have committed an offence under the POBO.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Prevention of Bribery Ordinance (Cap.201).

<u>Answer 5(a)</u>

This question required the candidates to discuss how to convert a private company into a public company.

According to s.11(1), a private company is prohibited by its articles from offering shares to the public for subscription.

Under s.12, a company is defined as a public company if it is not a private company or a company limited by guarantee. For the purpose of listing on the Hong Kong Stock Exchange, only a public company is allowed to offer shares to the public for subscription.

A few steps need to be taken to convert a private company into a public company.

First, the private company must pass a special resolution to alter its articles (s.88(2)).

Then the company must, within 15 days after the date on which the alteration of its articles takes effect, deliver to the Registrar for registration (i) a notice of the alteration in specified Form (NAA4) and (ii) a copy of the articles as altered, certified by an officer of the company as correct (s.88(5)).

According to s.94(1), the company ceases to be a private company on the date on which the alteration takes place if a private company alters its articles so that the articles no longer comply with s.11(1)(a).

S.94(2)(a) provides that in addition to the documents required under s.88(5), the company must, within 15 days after the date on which the alteration takes effect, deliver to the Registrar for registration a notice of the change of the company's status in the specified form.

According to s.94(3), if a company contravenes subsection (2)(a), the company, and every responsible person of the company, commit an offence, and each is liable to a fine at level 3 and, in the case of a continuing offence, to a further fine of HK$300 for each day during which the offence continues.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 5(b)

This question required the candidates to discuss the requirements for listing a company on the Main Board of the Hong Kong Stock Exchange ("HKSE").

In order to qualify for listing on the Main Board of the HKSE, a company must have a trading record of not less than three financial years and meet at least one of the following three financial criteria at the time of listing:

(i) Profit test

- Market capitalisation of at least HK$500 million.
- Profit attributable to shareholders of at least HK$80 million in the last three financial years, with profits of at least HK$35 million recorded in the most recent year and aggregate profits of at least HK$45 million recorded in the two years before that.

(ii) Market capitalisation/ revenue test

- Market capitalisation of at least HK$4 billion.
- Revenue of at least HK$500 million for the most recent audited financial year.

(iii) Market capitalisation/ revenue/ cash flow test

- Market capitalisation of at least HK$2 billion.
- Revenue of at least HK$500 million for the most recent audited financial year.
- Positive cash flow from operating activities of at least HK$100 million in aggregate for the three preceding financial years.

Furthermore, a company must have available sufficient working capital for the group's present requirements, for at least the next 12 months from the date of the prospectus.

Apart from the above, the company should satisfy the requirement on operating history and ownership of the company to be listed:

- A trading record of at least three financial years;
- Management continuity for at least the three preceding financial years; and
- Ownership continuity and control for at least the most recent audited financial year.

In order to list its securities, a company must have:

- At all times, at least 25% of its total issued share capital held by the public;
- At the time of listing, at least 300 shareholders; and
- Not more than 50% of the shares in public hands at the time of listing can be beneficially owned by the three largest public shareholders.

Answer 6(a)

This question required the candidates to discuss the principles of a separate legal entity and the limited liability of the members/ shareholders of the company.

Under common law, a company is regarded as a legal entity separate from its shareholders/ members and directors/ officers. The shareholders' liability is limited to the amount they have invested in the company in the form of share capital.

A company is treated as a separate legal entity, as illustrated by the classic case of *Salomon v A. Salomon and Co Ltd [1897] AC 22*, in which it was held that a company at law is a different person even if it is operated by only one person - Mr Salomon, in this case. Mr Salomon could be both a shareholder and creditor of the company. Therefore, Mr Salomon could enforce his debenture against the company in the capacity of a secured creditor when the company was in liquidation.

On the other hand, Mr Salomon, being the shareholder, was held not liable for the debts of the company under the principle of separate legal entity.

Under s.115, a company has the capacity, rights, and powers of a natural person of full age and may do anything permitted or required to be done by its articles or any Ordinance or rule of law and has the power to hold or buy and sell land as well. In the case of *Farrar and Farrars Limited [1888] 40 Ch. D 395,* it was held that a sale of a property by a member/ shareholder of a company to that company was not a sale of a property to himself. Land owned by a shareholder of a company is not land owned by a company.

Being a separate legal entity, a company limited by shares or guarantee can limit the liability of the founders and shareholders for the debts of the company, as shown in above mentioned case of *Salomon v A. Salomon*. One of the greatest advantages of incorporating a company limited by shares to run a profit-making business is the limited liability enjoyed by the shareholders, that is, to the amount which remains unpaid on the shares held by them.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 6(b)

This question required the candidates to discuss whether the corporate veil should be lifted.

The corporate veil is the protection given to the shareholders under the principle of separate legal entity. The court will generally not lift the corporate veil, that is, disregard the principle of separate legal entity and hold the shareholders liable for the company's debts or liabilities. Under common law, the general rule for lifting or piercing the corporate veil is where the company is used as a vehicle, a "mere façade", to perpetrate fraud or evade legal obligations or liabilities.

In *Hashem v Shayif [2008] EWHC 2380,* the mere façade principles are summarised as follows:

(i) On the authority of *Salomon v A. Salomon*, mere ownership and control of the company by one particular person are not regarded as sufficient to lift the corporate veil.
(ii) The court cannot lift the corporate veil merely because it is considered necessary to do so in the interest of justice.
(iii) The corporate veil can only be lifted if there is impropriety which is linked to the use of the company structure to avoid or conceal legal liability.
(iv) The court is entitled to lift the corporate veil if both control of the company by the wrongdoers and their impropriety, that is, misuse of the company by the wrongdoers as a façade to conceal or hide their wrongdoing, can be proved.
(v) Though not originally incorporated with any deceptive or fraudulent intention, a company can be a façade if it is being used as a façade at the time of the relevant transaction.
(vi) The court will only lift the corporate veil to provide a remedy for the particular wrong which those in control of the company have done. The court's lifting of the veil for one purpose does not mean the veil will be generally lifted for all purposes.

In the recent English case of *Petrodel Resources Ltd and others v Prest [2013] UKSC 34*, the wife raised a claim for ancillary against the husband upon divorce. The wife's claim included seven properties which the wife said were owned by the husband. These properties were paid with the husband's funds but were legally vested in two companies, namely Petrodel Resources Ltd and Vermont long before the marriage broke down. There was evidence to show that the husband had unrestricted access to the companies' funds and used them to finance his own and his family's expenses. In the premises, the court inferred that the two companies were completely owned and controlled by the husband.

In this case, the court discussed two legal principles, namely, the "evasion principle" and the "concealment principle". The evasion principle applies when a person deliberately evaded or frustrated the enforcement of an existing legal obligation to which he/ she was subject by incorporating a company which he controlled. It was held that in this situation, the court may be entitled to "pierce the corporate veil" only for the purpose of depriving the controller of the company of the advantage he would otherwise have obtained by abusing company's separate legal personality (see paras. 28 and 35 of the judgment).

In this case, the legal interest in the properties involved was vested in the companies, not in the husband, and long before the break-up of the marriage. Therefore, there was no evidence that the husband was seeking to avoid any obligation and therefore no abuse of the legal personality of the company.

The second principle relevant to this case is the concealment principle which does not involve piercing of the corporate veil but is about the interposition of a company or several companies in order to conceal the identity of the "real actors" (see para. 27 of the judgment). Under the concealment principle, the court would only be looking behind the so-called façade to discover the truth which the corporate structure is concealing. In this case, the husband made use of the corporate structure of the Petrodel Group to deny being its owner and was "simply giving false evidence" (see para. 35 of the judgment).

The court came to the conclusion that the seven disputed properties involved were beneficially owned by and held on trust for the husband. There was no need to pierce the corporate veil. The court then ordered the transfer of the seven properties involved to the wife.

Like the Husband in the *Prest* case, HGL was owned and controlled by Jerry who had free access to the assets of HGL and used the funds of HGL to pay his and his family's expenditure. However, the properties legally owned by HGL were actually beneficially owned by Jerry who paid for them with his own funds. Therefore, the court will probably order Jerry to transfer some or all of these properties to Jessica upon their divorce without lifting the corporate veil.

Answer 6(c)

This question required the candidates to discuss whether Jessica would be entitled to claim the properties legally owned by HGL if these properties have been paid for with HGL's funds.

If the properties were paid for with the funds of HGL, these properties would then be owned by HGL legally as well as beneficially.

Under the principles of separate legal entity, the assets of the company belonged to the company, which is distinct from its members/ shareholders who are not allowed to make personal use of them.

Therefore, Jessica would probably not be entitled to claim these properties upon divorce.

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